

PARTNERSHIP AGREEMENT

Between Digital Microfinance Platform and Licensed Lender

THIS AGREEMENT is made on this _____ day of _____, 20

BETWEEN:

[PLATFORM COMPANY NAME] (PTY) LTD

Registration Number: [Number]
Registered Address: [Address, Maseru, Lesotho]
(Hereinafter referred to as "the Platform" or "Platform Provider")

AND

[LENDER COMPANY NAME]

Registration/License Number: [Number]
Registered Address: [Address]
(Hereinafter referred to as "the Lender" or "Licensed Lender")

(Individually referred to as "Party" and collectively as "Parties")

RECITALS

WHEREAS:

- A. The Platform operates a digital technology platform connecting borrowers organized in community groups (Stokvels, Burial Societies, Employer Unions, and Savings Groups) with licensed financial institutions for microfinance lending purposes;
- B. The Lender is a [bank/microfinance institution/financial services provider] duly licensed by the Central Bank of Lesotho under [License Type and Number] to conduct [lending/microfinance] business in Lesotho;
- C. The Platform does NOT hold a lending license and does NOT itself provide credit, but rather facilitates connections between borrowers and licensed lenders;
- D. The Parties wish to collaborate whereby the Platform will refer qualified borrower groups to the Lender, and the Lender will evaluate, approve, and disburse loans using its own capital and license;
- E. The Parties acknowledge that all lending activities must comply with the Laws of Lesotho, particularly the Central Bank of Lesotho Act, Financial Institutions Act, and all applicable regulations.

NOW THEREFORE, in consideration of the mutual covenants and agreements herein contained, the Parties agree as follows:

1. DEFINITIONS

1.1 In this Agreement, unless the context otherwise requires:

- "Borrower" means an individual member of a Borrower Group who applies for a loan through the Platform.
- "Borrower Group" means a registered community group on the Platform including Stokvels, Burial Societies, Employer Unions, Savings Groups, or other traditional financial solidarity structures.

"Commission" means the referral/facilitation fee payable by the Lender to the Platform as specified in Schedule A.

"Default" means failure by a Borrower to make loan payments according to the agreed schedule, as further defined in the Lender's loan agreement.

"Loan Application" means a request for credit submitted by a Borrower through the Platform to the Lender.

"Platform Services" means the technology services provided by the Platform including borrower onboarding, group formation, loan application processing, affordability assessment, document management, and repayment tracking.

"Qualified Borrower" means a Borrower who meets the eligibility criteria set out in Schedule B.

"Referred Loan" means any loan originated through the Platform's referral system and approved by the Lender.

2. SCOPE OF PARTNERSHIP

2.1 Platform's Role

The Platform agrees to:

- a) Operate and maintain a digital platform for borrower group formation and management;
- b) Onboard and verify Borrower Groups according to agreed standards;
- c) Conduct initial borrower screening including identity verification, affordability assessment, and document collection;
- d) Refer Qualified Borrowers to the Lender for final credit decision;
- e) Provide the Lender with access to borrower data, group information, and application materials through secure API or web portal;
- f) Facilitate loan repayment collection through integrated mobile money and payment systems;
- g) Provide ongoing borrower communication and support services;
- h) Maintain financial literacy and training programs for Borrower Groups.

2.2 Lender's Role

The Lender agrees to:

- a) Review all Loan Applications referred by the Platform in a timely manner (within [5-7] business days);
- b) Make independent credit decisions based on the Lender's own underwriting criteria and risk appetite;
- c) Disburse approved loans directly to Borrowers using the Lender's capital;
- d) Own and manage all credit risk associated with Referred Loans;
- e) Maintain all required licenses and regulatory compliance for lending activities;
- f) Report all Referred Loans to credit bureaus and regulatory authorities as required;
- g) Handle collections and default management for Referred Loans;
- h) Pay agreed Commission to the Platform for successful loan disbursements;
- i) Provide the Platform with loan performance data for monitoring and improvement.

2.3 Clarification of Responsibilities

The Parties acknowledge and agree that:

- a) The **Lender makes all final credit decisions**. The Platform's referral does not constitute a guarantee or recommendation of creditworthiness;
- b) The **Lender owns all credit risk**. The Platform has no liability for defaults, losses, or non-performance by Borrowers;
- c) The **Lender-Borrower relationship** is direct. The Platform is not a party to loan agreements and has no lending obligations;
- d) The **Platform provides technology services only**. It does not provide financial services or accept deposits;
- e) **All loans are subject to the Lender's terms and conditions**, including interest rates, fees, and repayment schedules set by the Lender.

3. LOAN PRODUCTS & PARAMETERS

3.1 Approved Loan Products

The Lender agrees to offer the following loan products to Platform-referred Borrowers:

Product Name	Amount Range	Term Options	Interest Rate	Collateral
Group Microloan	M 2,000 – M 15,000	3, 6, 9, 12 months	[__]% p.a.	Group guarantee
Individual Loan	M 5,000 – M 30,000	6, 12, 18, 24 months	[__]% p.a.	Group + personal
Agricultural Loan	M 3,000 – M 20,000	6–12 months	[__]% p.a.	Group + soft collateral
Women's Empowerment	M 2,000 – M 25,000	6–18 months	[__]% p.a.	Women's group
Emergency Loan	M 1,000 – M 5,000	1–3 months	[__]% p.a.	Group + employer deduction

Full product terms are detailed in Schedule C

3.2 Loan Pricing

- a) Interest rates shall be determined by the Lender and must comply with Central Bank of Lesotho regulations and market standards;
- b) The Lender shall clearly disclose all fees, charges, and the Annual Percentage Rate (APR) to Borrowers;
- c) The Platform may display indicative rates on the platform but all final pricing is subject to Lender approval;
- d) Any changes to loan pricing must be communicated to the Platform at least [30] days in advance.

3.3 Lending Limits

- a) **Maximum Total Exposure:** The Lender may set a maximum total portfolio limit for Platform-referred loans [e.g., M 50 million];
- b) **Per-Borrower Limit:** Maximum loan amount per individual Borrower [e.g., M 30,000];
- c) **Per-Group Limit:** Maximum total outstanding loans per Borrower Group [e.g., M 150,000];
- d) **Geographic Limits:** The Lender may specify districts or regions where it will or will not lend;
- e) The Lender reserves the right to adjust these limits upon [30] days' written notice.

4. LOAN APPLICATION PROCESS

4.1 Borrower Onboarding (Platform Responsibility)

- a) Platform registers Borrower Groups and individual Borrowers;
- b) Platform verifies identities using national IDs and other documents;
- c) Platform conducts affordability assessments based on disclosed income and expenses;
- d) Platform collects required documents: ID, proof of income, bank statements, chief's letter (where applicable);
- e) Platform ensures Borrowers understand loan terms through financial literacy content.

4.2 Loan Application Submission

- a) Borrower completes loan application through Platform's mobile app or web interface;
- b) Platform validates application completeness and accuracy;
- c) Platform transmits application to Lender via secure API within [24] hours;
- d) Platform provides Lender access to all supporting documents and borrower information.

4.3 Lender Review & Decision

- a) Lender reviews application using own credit scoring and underwriting criteria;
- b) Lender may request additional information or documentation from Platform or Borrower;
- c) Lender makes credit decision within [5-7] business days of complete application;
- d) Lender communicates decision (approved, declined, or conditional approval) to Platform;
- e) Platform notifies Borrower of decision via SMS, app notification, and/or email.

4.4 Loan Disbursement

- a) Upon approval, Lender generates loan agreement and sends to Borrower via Platform;
- b) Borrower signs agreement digitally or physically as required by Lender;
- c) Group guarantors sign guarantee documents (where applicable);
- d) Lender disburses funds directly to Borrower's mobile money account or bank account within [2-3] business days of signed agreement;
- e) Lender notifies Platform of disbursement; Platform records loan in system and activates repayment schedule.

4.5 Rejection Handling

- a) If Lender declines application, Lender provides rejection reason codes (not detailed explanation) to Platform;
- b) Platform communicates declination to Borrower in respectful, non-stigmatizing manner;
- c) Platform may suggest alternative products, smaller loan amounts, or re-application timeline if appropriate;
- d) No fees are charged to Borrowers for declined applications.

5. REPAYMENT & COLLECTIONS

5.1 Repayment Process

- a) Borrowers repay loans according to schedule agreed with Lender;

- b) Platform facilitates repayments through integrated mobile money (M-Pesa, EcoCash) or bank transfers;
- c) Platform sends automated payment reminders to Borrowers [5 days, 2 days, 1 day] before due date;
- d) Payments are transmitted directly to Lender's settlement account;
- e) Platform provides Borrower with receipt confirmation for each payment.

5.2 Payment Allocation

Payments shall be allocated in the following order (unless otherwise agreed):

- 1. Late fees/penalties (if applicable)
- 2. Accrued interest
- 3. Principal amount
- 4. Other charges

5.3 Collections & Default Management

a) **Platform's Role:**

- Send automated reminders for overdue payments
- Facilitate communication between Lender and Borrower
- Engage Borrower Group for peer support and guarantee activation
- Provide Lender with updated contact information

b) **Lender's Role:**

- Manage all formal collections activities
- Make decisions on restructuring, write-offs, or legal action
- Report defaults to credit bureaus as required
- Handle recovery of collateral or guarantee enforcement

c) **Ethical Collections:** Both Parties agree to:

- Treat Borrowers with respect and dignity
- Comply with consumer protection laws
- Avoid harassment, intimidation, or predatory practices
- Use traditional mediation (chiefs, elders) before legal action where culturally appropriate

5.4 Group Guarantee Activation

Where loans include group guarantees:

- a) Platform notifies group guarantors when Borrower is [7] days overdue;
- b) Group admin is given [14] days to facilitate payment or arrange guarantee coverage;
- c) Lender may request Platform to coordinate group meeting for payment resolution;
- d) If group fails to cover, Lender handles collections directly with Borrower.

6. COMMISSION & FEES

6.1 Commission Structure

The Lender shall pay the Platform commission as follows:

Option A: Percentage of Loan Amount

- [2.5%] of disbursed loan amount, paid upon successful disbursement
- Example: M 10,000 loan $\times$ 2.5% = M 250 commission

Option B: Fixed Fee per Loan

- M [200-500] per loan, regardless of size
- Paid upon successful disbursement

Option C: Revenue Share

- [15-25%] of interest revenue earned by Lender on Platform-referred loans
- Calculated and paid monthly based on actual collections

Option D: Hybrid Model

- Upfront fee: M [100] per disbursed loan
- Ongoing fee: [1%] of interest collected monthly

The Parties select: [Option ____] as detailed in Schedule A

6.2 Payment Terms

- Commission invoices shall be issued by Platform [monthly/quarterly];
- Lender shall pay invoices within [30] days of receipt;
- Payment shall be made via bank transfer to Platform's designated account;
- Platform shall provide detailed reconciliation reports with each invoice.

6.3 Fees NOT Payable

Commission is NOT payable for:

- Loan applications that are declined;
- Approved loans that are not disbursed for any reason;
- Loans that default within [30] days of disbursement (clawback provision);
- Refinanced or restructured loans (unless agreed otherwise).

6.4 Platform Subscription Fees

In addition to loan commissions, the Lender may pay Platform:

- Setup Fee:** One-time [M 10,000-50,000] for system integration and onboarding;
- Monthly Platform Fee:** [M 5,000-15,000] for access to Platform services, borrower pipeline, and reporting tools;
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